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Case Number: 24NNCV03036 Hearing Date: September 11, 2026 Dept: T

Claire

Yi He vs. Sheng Li, et al.

Motion

for Leave to Amend the Complaint

Moving Party: Plaintiff

Claire Yi He

Responding Party: Defendant

Cassix LLC

Tentative Ruling: Grant

BACKGROUND

On July 19, 2024, Plaintiff Claire

Yi He ("Plaintiff") filed a verified complaint against Defendants Sheng Li ("Li"), Fang Chen ("Chen"), South California Wood Inc., 5th Street Capital, Inc., Cassix LLC, Trinitas Capital Inc., Guangrong Zuo, and Does 1 through 20, alleging the following causes of action: (1) declaratory relief to establish an equitable lien; (2) judicial foreclosure; (3) fraud; (4) breach of contract; and (5) common counts for money had and received.

On September 24, 2024, Plaintiff

filed a verified first amended complaint ("FAC") against these same defendants, alleging the same causes of action.

On November 6, 2024, Defendant Cassix LLC ("Defendant") filed its answer to the FAC.

On February 11, 2026, the Court severed Plaintiff's claim against Defendant and stayed the action against Defendant until April 20, 2026. (Min. Order, 2/11/26.)

On April 2, 2026, the Court granted Plaintiff's motion for leave to file a second amended complaint ("SAC") and found good cause to reopen discovery.

Plaintiff now moves for leave to file a third amended complaint ("TAC").

Defendant opposes, and Plaintiff replies.

MOVING

PARTY POSITION

Plaintiff seeks leave to file a TAC to allege additional facts concerning the existence, validity, and amount of the purported indebtedness underlying Defendant's June 3, 2021, deed of trust and identifying three transfers that were not made to Defendant for reasonably equivalent value in support of her UTVA claim. Plaintiff argues that this new cause of action is based on newly discovered facts from Defendant's financial records from Cathay Bank, which were recently received by Plaintiff on August 14, 2026. Plaintiff also argues that the proposed amendments will not unfairly prejudice Defendant.

Plaintiff further argues that the pending appeal of the judgment entered against Li does not stay proceedings on the dispute between Plaintiff and Defendant and that discovery between these parties should be allowed to proceed.

OPPOSITION

Defendant contends that the motion fails to comply with California Rules of Court, rule 3.1324 because (1) the supporting declaration does not state the effect of the proposed amendments, (2) the declaration does not state why the amendments are necessary and proper, (3) the

declaration does not state when the facts giving rise to the proposed amendments, and (4) the declaration does not state the reasons why the request for amendment was not made earlier.

REPLY

Plaintiff

responds that she has complied with all of Rule 3.1324's requirements and notes that Defendant does not oppose a continuance of the trial in its opposition.

ANALYSIS

I.

Legal

Standard

A. Amendment to Pleadings: General Provisions

Under

Code of Civil Procedure section 576, "[a]ny judge, at any time before or after commencement of trial, in the furtherance of justice, and upon such terms as may be proper, may allow the amendment of any pleading or pretrial conference order."

Code

of Civil Procedure section 473, subdivision (a)(1) provides, in relevant part: "[t]he court may, in furtherance of justice, and on any terms as may be proper, allow a party to amend any pleading or proceeding by adding or striking out the name of any party, or by correcting a mistake in the name of a party, or a mistake in any other respect; and may, upon like terms, enlarge the time for answer or demurrer.¿ The court may likewise, in its discretion, after notice to the adverse party, allow, upon any terms as may be just, an amendment to any pleading or proceeding in other particulars; and may upon like terms allow an answer to be made after the time limited by this code."¿

"This discretion should be exercised

liberally in favor of amendments, for judicial policy favors resolution of all disputed matters in the same lawsuit." (Kittredge

Sports Co. v. Superior Court (1989) 213 Cal.App.3d 1045, 1047.) The Court of Appeal in Morgan v. Superior

Court (1959) 172 Cal.App.2d 527 held, "If the motion to amend is timely made and the granting of the motion will not prejudice the opposing party, it is error to refuse permission to amend and where the refusal also results in a party being deprived of the right to assert a meritorious cause of action or a meritorious defense, it is not only error but an abuse of discretion." (Morgan v. Superior Court (1959) 172 Cal.App.2d 527, 530, citations omitted.)

Moreover, "it is an abuse of discretion for the court to deny leave to amend where the opposing party was not misled or prejudiced by the amendment." (Kittredge, supra, at p. 1048 [the opposing party did not establish harm by the delay in moving to amend the complaint].)

B. California Rules of Court, rule 3.1324:
Procedural Requirements

Pursuant to California Rules of
Court, rule 3.1324(a), a motion to amend a pleading before trial must:

"(1)

Include a copy of the proposed amendment or amended pleadings, which must be serially numbered to differentiate it from previous pleadings or amendments;

(2)

State what allegations in the previous pleading are proposed to be deleted, if any, and where, by page, paragraph, and line number, the deleted allegations are located; and

(3)

State what allegations are proposed to be added to the previous pleading, if any, and where, by page, paragraph, and line number, the additional allegations are located."

In addition, under Rule 3.1324(b),
a motion to amend a pleading before trial must be accompanied by a separate declaration that specifies the following:

"(1)

The effect of the amendment;

(2)

Why the amendment is necessary and proper;

(3)

When the facts giving rise to the amended allegations were discovered; and

(4)

The reasons why the request for amendment was not made earlier.”

II.

Discussion

Plaintiff has substantially complied with the procedural requirements and attached a copy of the proposed TAC, as well as a copy of the operative SAC with all proposed additions and deletions noted. (Sun Decl. ¶ 15, Exh. A; id. ¶ 16, Exh. B.) The proposed pleading now adds new factual allegations regarding the existence, validity, and amount of the purported indebtedness underlying Defendant’s June 3, 2021, deed of trust in support, as well as newly discovered factual allegations in support of her UTVA cause of action. (Ibid.) In addition, the proposed pleading adds new factual allegations regarding other deeds of trust recorded against the subject property and revises other specified allegations to conform with the judgment entered on June 5, 2026, and subsequently discovered evidence. (Ibid.)

Although Defendant contends that the motion should be denied due to Plaintiff’s failure to comply with Rule 3.1324’s requirements, in reviewing the declaration of Plaintiff’s counsel Mary Sun, and the supporting exhibits referenced therein, the Court finds that Plaintiff substantially complied with these requirements. (See Sun Decl. ¶¶ 2–19.) Nor has Defendant shown that any prejudice will result from granting Plaintiff leave to amend her complaint.

Therefore, the motion for leave to amend is granted.

RULING

Plaintiff Claire Yi He’s Motion for Leave to File a Third Amended Complaint is GRANTED. Plaintiff shall file and serve the proposed third

amended complaint within five days.

The Court finds that Plaintiff's Second Cause of Action for Judicial Foreclosure is affected by the pending appeal and is thus subject to Code of Civil Procedure section 916(a). Accordingly, and except as otherwise provided by statute, all further trial court proceedings relating to the Second Cause of Action, including discovery, are automatically stayed pending resolution of the appeal.